



Public Competition Assessment

15 March 2007

Pacific Terminals (Australia) Pty Ltd - proposed acquisition of bulk liquid terminals from Craig Mostyn & Co Pty Ltd

INTRODUCTION

1. On 7 March 2007, the Australian Competition and Consumer Commission (ACCC) announced its decision not to oppose Pacific Terminals (Australia) Pty Ltd's (**Pacific Terminals**) proposed acquisition of bulk liquid terminals at Brisbane and Burnie from Craig Mostyn & Co Pty Ltd (**Craig Mostyn**) (the **proposed acquisition**). The ACCC formed the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in any relevant market in contravention of section 50 of the Trade Practices Act 1974 (the **Act**).
2. The ACCC formed its view on the basis of the information provided by the merger parties and information obtained during market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

PUBLIC COMPETITION ASSESSMENT

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. This Public Competition Assessment has been issued because Pacific Terminals' proposed acquisition of bulk liquid terminals from Craig Mostyn is considered to raise issues of interest to the public.
5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.
7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

THE PARTIES

The acquirer: Pacific Terminals (Australia) Pty Ltd

8. Pacific Terminals owns and operates a number of bulk liquid storage sites - most relevantly at Pinkenba (Port of Brisbane) and at Devonport and Bell Bay (Tasmania). At these sites, Pacific Terminals provides storage for a variety of hazardous and non-hazardous liquids including tallow, vegetable oils, chemicals and fuels. Pacific Terminals also provides associated services at these terminals such as tanker washing, drumming, fats and oils bleaching, and a weighbridge service.
9. Pacific Terminals is a wholly owned subsidiary of Gardner Smith (Holdings) Pty Ltd. Gardner Smith (Holdings) Pty Ltd has several subsidiaries, another one of which is Gardner Smith Pty Limited (referred to as **Gardner Smith** in this paper) – a supplier of tallows and vegetable oils. Pacific Terminals provides storage to Gardner Smith as well as other traders of bulk liquids.

The target: Craig Mostyn & Co Pty Ltd

10. Craig Mostyn is a diversified food, agribusiness and logistics company serving customers and suppliers in over 60 countries. Craig Mostyn owns and operates a number of bulk liquid storage sites, including at Burnie (Tasmania) and Hamilton (Port of Brisbane). At these sites Craig Mostyn provides storage to other parties for a variety of non-hazardous bulk liquids such as tallow, vegetable oils, fish oils and molasses.

Other industry participants

11. The major edible oil and fat traders active in Queensland are Kerry Australia, Gardner Smith and Colyer Fehr. The ConAgra Trade Group and Goodman Fielder are also traders in fats and oils. Major producers of tallow in Queensland include Tey's Bros, AJ Bush & Sons, Nippon Meat Packers and Australian Meat Holdings.

THE PROPOSED TRANSACTION

12. Pacific Terminals currently operates bulk storage facilities at several Australian ports including at Pinkenba (Brisbane). Pacific Terminals proposes to purchase the assets belonging to Craig Mostyn located at Hamilton (Brisbane) with the intention of relocating these tanks to its site at Pinkenba. This includes 31 tanks with a total capacity of 15,500m³ as well as all plant and equipment located at the facility.
13. As a part of the agreement to acquire the assets owed by Craig Mostyn in Brisbane, Pacific Terminals is required to acquire three tanks owned by Craig Mostyn at Burnie in Tasmania. Market inquiries indicated that Craig Mostyn's lease on the site at Burnie has expired and will not be renewed. Pacific Terminals has indicated these tanks will be moved to Devonport, where it currently operates bulk storage facilities.
14. Craig Mostyn ceased trading tallow in international markets in 1988 and has since refocused its business in other areas including abattoir and meat processing operations, importing and processing fish products and exporting fresh produce, grains and meats.
15. Consistent with its new business direction, Craig Mostyn has decided to exit the business of handling and storing bulk liquids. Craig Mostyn sold its Newcastle terminal late last year to Cargill Australia.

INDUSTRY BACKGROUND

16. The proposed acquisition arises in the context of the tallow and vegetable oil industry. Tallow is a purified fatty material extracted from several animal species and used for a variety of purposes including making edible oils, frying fats, soap, industrial lubricants and candles.
17. Tallow is a by-product and its production is therefore tied to slaughter numbers. Australian production generally averages around 500 000 tonnes per annum, and approximately 70% of all tallow produced in Australia is exported.¹ In 2005, over 50% of Australian tallow was produced in Queensland or northern New South Wales.²

¹See:

<http://www.mla.com.au/TopicHierarchy/MarketInformation/DomesticMarkets/Processing/Coproducts/Rendered+co-products.htm>; last accessed 13.03.07

² See: http://www.parliament.vic.gov.au/enrc/inquiries/biofuels/submissions/Sub_40_CSIRO.pdf; last accessed: 13.03.07

18. Dealers in tallow (including manufacturers, traders and wholesalers) use bulk storage terminals at ports to consolidate product purchased on a continuous basis prior to export. Vegetable oils are regularly imported through the Port of Brisbane but rarely exported. Traders, wholesalers and end users of imported vegetable oils use bulk storage terminals at ports to store imported product, enabling them to distribute it as needed.

AREAS OF OVERLAP

19. Craig Mostyn's and Pacific Terminals' businesses overlap in the area of storage of tallow and vegetable oils in Brisbane and Tasmania.

TIMING

20. The following table outlines the timeline of key events in this matter.

Date	Event
12-Jan-2007	ACCC commenced review under the Merger Review Process Guidelines. Market inquiries commenced.
05-Feb-2007	Closing date for submissions from initial round of market inquiries
13-Feb-2007	ACCC published Statement of Issues
20-Feb-2007	Closing date for submissions in response to Statement of Issues
07-Mar-2007	Announcement of ACCC's findings

MARKET INQUIRIES

21. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, industry bodies, port authorities and other interested parties. Submissions were sought in relation to the substantive competition issues raised by this proposed transaction.

STATEMENT OF ISSUES

22. The ACCC published a Statement of Issues on 13 February 2007 identifying a number of competition issues. In the Statement of Issues the ACCC identified the following issues of concern:
- barriers to entry into the market for the supply of bulk tallow and vegetable oil storage in Brisbane;
 - availability of substitutes in Brisbane for bulk tallow and vegetable oil storage services;
 - the feasibility of transporting tallow and/or vegetable oils to and from other ports; and
 - vertical integration issues.

23. The Statement of Issues was published following significant competition concerns being raised by a number of market participants. These concerns centred on the reduction in the number of competitors providing storage with access to shipping for tallow and vegetable oil in Brisbane from two to one, particularly given the relationship between Pacific Terminals and Gardner Smith.

WITH/WITHOUT TEST (COUNTERFACTUAL)

24. In assessing a merger pursuant to section 50 of the Act, the ACCC must consider the effects of the transaction by comparing the likely competitive environment post-merger if the transaction proceeds (the “with” position) to the likely competitive environment post-merger if the transaction does not proceed (the counterfactual or “without” position).

Burnie

25. The ACCC concluded that the acquisition of Craig Mostyn’s terminals at Burnie was unlikely to raise concerns given that Craig Mostyn’s lease from the Tasmanian Port Authority has ended; that is, even without the transaction, Craig Mostyn would have ceased to be a competitor in Burnie. Market inquiries confirmed that the Port Authority intends to begin redeveloping the land for another purpose shortly. As Craig Mostyn could no longer compete with Pacific Terminals regardless of the transaction, the ACCC formed the view that the acquisition of the terminals at Burnie was unlikely to lead to a substantial lessening of competition.

Brisbane

26. Craig Mostyn currently leases the land at the Port of Brisbane from Patrick Stevedores Operations No 2 Pty Ltd which in turn leases it from the Port of Brisbane Corporation. While there appeared to be some uncertainty surrounding the tenure of Craig Mostyn’s lease at the Port of Brisbane and the enforceability and transferability of an option term, inquiries with the relevant parties led the ACCC to form the view that the appropriate counterfactual is that Craig Mostyn’s lease will expire in October 2009. Demolition work which will render the site inoperative is likely to begin in early 2009. Therefore, the most likely competitive environment without the merger is that, from early 2009, the terminals currently owned by Craig Mostyn will not be available as a source of competition to Pacific Terminals.

MARKET DEFINITION

Market 1 - Tallow and vegetable oil storage

Product dimension

27. Craig Mostyn’s and Pacific Terminals’ Brisbane terminals are used as storage in the process of exporting and importing bulk shipments of tallow and vegetable oils out of and into the port.

28. Some market participants asserted that the relevant product market should be more broadly defined than bulk tallow and vegetable oil storage, to incorporate storage for other types liquids. Central to the ACCC's definition of the relevant product market was the specialised storage conditions required for some liquids including tallow and vegetable oils. Tallow and vegetable oils require heating and constant temperature regulation to ensure the products do not solidify or degrade. Important design characteristics of tallow and vegetable oil storage tanks include agitation, top loading capability, a sloping floor, and ensuring the tanks are suitably coated and free of contaminants.
29. Similarly, storage for combustible and toxic liquids must comply with a large number of safety regulations which differ to those required for tallow and vegetable oil storage.
30. Given the specific storage requirements for tallows and vegetable oils, the ACCC formed the view that there is limited demand and supply side substitutability between bulk storage designed for tallow and vegetable oils and bulk storage designed for other types of liquids.
31. Differences in the regulatory requirements, design specifications and operation of the storage tanks for various products results in differences in the cost of establishing such facilities and the prices charged to customers. Consistent with this, market inquiries indicated that operators of terminals designed for hazardous products preferred, where possible, to store hazardous products in their terminals as they are able to charge higher fees for storing these products. Tallow was also viewed as an undesirable product to store in facilities which are not purpose built for tallow, due to its propensity to partially solidify and leave thick deposits in the tanks, pipelines and pumps.

Geographic dimension

32. On the basis of information provided by market participants, the ACCC formed the view that the bulk transport of these products to and from alternative ports is not a competitive substitute for storage at the Port of Brisbane. With the exception of a few users situated in between two ports, transport costs appear to be too high to make transporting bulk product to other ports for storage a competitive option. The geographic scope of the relevant market was therefore limited to Brisbane. Further details about the substitutability of storage located at other ports can be found at paragraph 46 below.

Functional dimension

33. The proposed acquisition is occurring at the storage level of the tallow and vegetable oil supply chain. However, it also has implications for the wholesale trading of these products as Pacific Terminals is a related entity of Gardner Smith – a tallow and vegetable oil trader which utilises Pacific Terminals' storage.
34. Market inquiries indicated a general concern that the proposed acquisition would give Gardner Smith advantages over rival traders in the storage of its products. The ACCC therefore considered the implications of the merger at both the storage and wholesale trading level of the tallow and vegetable oil markets.

Market 2 - Wholesale tallow and vegetable oil market

35. The ACCC also examined the effects of the proposed acquisition on the wholesale tallow and vegetable oil markets given the possible vertical integration issues raised by the tallow and vegetable oil trading operations of Gardner Smith - a related entity of Pacific Terminals.

Product Market

36. Tallow is sold on a wholesale basis in Queensland by tallow refiners, traders and wholesalers (collectively referred to here as **tallow dealers**). Bulk storage terminals at ports are used to consolidate product, which is produced on a continuous basis by refiners, prior to export. Queensland is a net exporter of tallow; no imports are usually received at the Port of Brisbane.
37. Most vegetable oil consumed by bulk users in Queensland is imported, and some is transported from interstate. Vegetable oils may be imported by vegetable oil refiners, traders and wholesalers (collectively referred to here as **vegetable oil dealers**). Once imported, the vegetable oils are stored in bulk liquid terminals at ports, from where the oils are distributed. Tallow and vegetable oils may be resold by various dealers a number of times prior to export or use.

Geographic Market

38. Market inquiries indicated that tallow and vegetable oils are bulky, relatively low value products and that it is generally not viable to transport large volumes of these products over long distances. Therefore, most tallow is produced, traded and stored within a reasonably close proximity and in most cases within the same state.
39. Market participants indicated that Queensland producers of tallow sell mainly to wholesalers who trade within Queensland, or near the border of Queensland and New South Wales. These traders tend to utilise storage facilities close to where the tallow is produced. Similarly, the majority of vegetable oil imported by traders is sold to users located within Queensland, though a small amount may be transported by road into NSW. In the case of storage for tallow and vegetable oil for export or import (which amounts to a substantial proportion of the tallow traded at a wholesale level in Queensland, and all the vegetable oil), storage facilities at the closest port are usually used.

Conclusion on Market Definition

40. The ACCC considered that the relevant markets in this matter were:
- a Brisbane market for storage, with access to shipping, for tallow and vegetable oils; and
 - tallow and vegetable oil wholesale markets which appear to operate within Queensland.

COMPETITION ANALYSIS

Market 1 - Tallow and vegetable oil storage

Market Concentration

41. Craig Mostyn's terminal at Hamilton and Pacific Terminals' terminal at Pinkenba supply all of the tallow and vegetable oil storage regularly available in the Port of Brisbane.

Availability of Substitutes

42. The ACCC considered the substitutability of other types of bulk liquid storage, but market inquiries indicated that it is unlikely that current providers of storage for other liquids such as hazardous products would be able to quickly enter the market for tallow and vegetable oil storage on a short term basis in the event of a price increase. Short-term substitutability is limited by government and international trading organisation regulations regarding such things as the storage of food grade products, and the cost of cleaning tanks. Further, the return on storage of hazardous liquids appears to comfortably exceed the return on tallow and vegetable oil storage.
43. The ACCC also considered the possibility of substituting non-waterfront storage for waterfront terminals. Mixed responses were received from market participants about the possibility of using terminals located within a few kilometres of the waterfront and pumping the product via a pipeline to and from the waterfront. On the basis of information obtained from the market, the ACCC formed the view that while it is optimal to locate terminals on the waterfront, it is possible to use pipelines to locate storage facilities up to a few kilometres inland, provided the necessary easements are available to run the pipelines to the waterfront.
44. The possibility of transporting products by road between inland storage terminals and the waterfront was raised by some stakeholders as an alternative to waterfront storage. However, the availability of suitable road tankers, considerably slower discharge speeds and demurrage costs led the ACCC to conclude that this was not feasible for large volumes of products.
45. In Australia, the majority of fats and oils are stored and exported or imported in bulk. A small proportion of tallow and vegetable oils are shipped in drums, ISO tanks and flexi-packs, usually because the destination has limited bulk liquid storage. Market inquiries clearly indicated that the level of availability of these storage media, their cost and the associated maintenance, manual handling and other logistical issues combine to make these options considerably less economical than bulk storage and generally not feasible for most customers and suppliers. The ACCC did not consider these alternative forms of storage as substitutes for bulk storage, particularly for large volumes of products.
46. The ACCC also considered the possibility of storage at alternative ports on the east coast of Australia acting as a competitive constraint against Pacific Terminals post-acquisition. Market inquiries indicated, however, that it was

neither cost effective nor logistically possible to transport the volume of product normally exported and imported over such long distances. The ACCC therefore concluded that storage at other ports would not provide an effective constraint post-acquisition. This view was confirmed by operators of bulk liquid storage facilities at several of those ports, who said that they did not consider themselves to be competitors of the Brisbane storage providers.

47. In conclusion, the ability to use pipelines to connect non-waterfront land to berths means that storage facilities on some land within close proximity of the waterfront may be substitutable for waterfront storage, provided that necessary easements can be obtained. However, market inquiries indicated that storage for other types of liquids is not substitutable for tallow and vegetable oil storage, either in the long or short term. Similarly, non-bulk storage does not appear to be a viable substitute.

Barriers to Entry and Expansion

48. The availability of suitable land for new entrants in Brisbane was a key issue raised by market participants. As discussed above, non-bulk storage is not substitutable for bulk storage, and transportation to other ports does not appear to be viable for anything other than small loads. The ability to use pipelines to provide access between inland terminals and ships increases the area of land on which new terminals could potentially be built.
49. Stakeholders differed in their views on the likelihood of suitable land becoming available at the Port of Brisbane. Some owners of land at the Port of Brisbane indicated that they had underutilised land, and would consider offers from potential tenants or buyers, including bulk liquid storage providers. Market inquiries indicated a number of players willing to enter if they are able to obtain suitable land. At least one potential entrant also appeared confident that it would be able to secure land for a bulk liquid terminal in the near future. On balance, the ACCC formed the view that it was more likely than not that suitable land would become available at the Port of Brisbane in the near future.
50. Capital costs and satisfying regulatory approval processes were raised as the other impediments to new entry. The ACCC concluded that capital costs alone would not deter new entry by a willing competitor, and entry may well be profitable even at existing prices given the high level of demand for storage in Brisbane.
51. There are a number of variables governing new entry into the provision of tallow and vegetable oil storage with access to shipping, including capital costs, environmental and safety regulations, and the availability of suitable land. Following market inquiries, the ACCC formed the view that it appears unlikely that the process of establishing a new bulk liquid storage terminal would take longer than one year once suitable land has been found.

Dynamic characteristics of the market

52. The ACCC examined the potential effects of developments in the biodiesel industry on demand for tallow and oils storage. It was suggested by some market

participants that if tallow can be used successfully in biodiesel production, the resulting increase in domestic demand for tallow for biodiesel production would lead to a decrease in demand for export storage, especially since tallow is a by-product whose production is not directly influenced by its demand. The possibility of a reduction in storage demand could potentially act as a deterrent to a new entrant in the storage market.

53. However, despite some signs of potential for an increase in the use of tallow as a feedstock for biodiesel production, market participants did not generally consider this to be an imminent or certain development. Further, market participants indicated that there is a general undersupply of bulk storage for both hazardous and non-hazardous liquids throughout Australia and that there would continue to be sustained demand for export storage facilities in the future.

Removal of a vigorous and effective competitor

54. Market inquiries differed on the extent to which Craig Mostyn currently constrains Pacific Terminals in the market for storage, with access to shipping, for tallow and vegetable oils in Brisbane. The ACCC concluded that even if Craig Mostyn is considered to compete effectively with Pacific Terminals at present (and it is noted that several market participants raised reasons why this may not be the case), this would cease to be the case once its lease at Hamilton expires. As discussed, inquiries indicated that the terminal was likely to cease operations within the next two years.

Market 2 - Tallow and vegetable oil wholesale

Market concentration

55. Gardner Smith is a large supplier of tallow and vegetable oils. Gardner Smith focuses on the aggregation and supply of tallow, vegetable oils, and their derivatives, servicing producers and customers within the traditional food, personal care, chemical and livestock feed industries both in Australia and overseas. There are several other wholesale suppliers of these products active in Queensland including Kerry Australia and Colyer Fehr.

Vertical integration issues

56. Pacific Terminals provides storage in Brisbane to Gardner Smith as well as other traders of bulk liquids. The ACCC considered the potential for vertical foreclosure to arise post-acquisition as a result of Pacific Terminals' relationship with Gardner Smith. Concerns were expressed by market participants that, post-acquisition, Pacific Terminals may have an incentive to restrict the amount of storage provided to Gardner Smith's competitors.
57. The ACCC formed the view that the vertical relationship between Pacific Terminals and Gardner Smith was unlikely to result in a substantial lessening of competition in any relevant market while Pacific Terminals is constrained by actual or potential competitors in the storage market.

58. The existence of other competitors in the wholesale markets for tallow and vegetable oil in Queensland and the threat of new entrants to the storage market, led the ACCC to conclude that such foreclosure was not likely to occur.
59. The ACCC formed the view that given the high demand for bulk liquid storage in Brisbane, the threat of new entry is likely to be real and an attractive opportunity in the event that Pacific Terminals seeks to raise prices or decrease service levels. Market inquiries indicated that this threat may currently be constraining Pacific Terminals to some degree.
60. The ACCC formed the view that barriers to new entry in the market for storage of tallow and vegetable oils in Brisbane were surmountable, and that the threat of new entry in this market was likely to constrain Pacific Terminals' behaviour post-acquisition.

Conclusion

61. On the basis of the above analysis the ACCC formed the view that Pacific Terminals' proposed acquisition of bulk liquid terminals from Craig Mostyn would not be likely to result in a substantial lessening of competition in any relevant market in contravention of section 50 of the Act both in the storage market and in downstream wholesale markets.